

INVESTOR PRESENTATION Q3 2020

DTB

**DIAMOND
TRUST
BANK**



WHO WE ARE

Vision:

Enabling people to advance with confidence and success.



Values:

Our values are the fundamental principles that define our culture and are brought to life in both our attitudes and our behavior; as we create value for our various stakeholders. Our values shape the way we operate and serve our customers. Deeply entrenched in us, these values enable us to perform our roles meaningfully and ethically, as well as interact with our customers through that special human element which

creates enriched connections and builds sustainable relationships.



Over time, we have invested in the most valuable anchor of our strategy - our people. By continuously enriching our peoples' skills, re-architecting ourselves to make technology and innovation our backbone and **fostering a customer-centric culture**. DTB aims to become the top-of-mind, go-to- financial partner, deeply embedded in the lifestyles of our customers.

Mission:

To make our customers prosper, our staff excel and create value for our stakeholders.

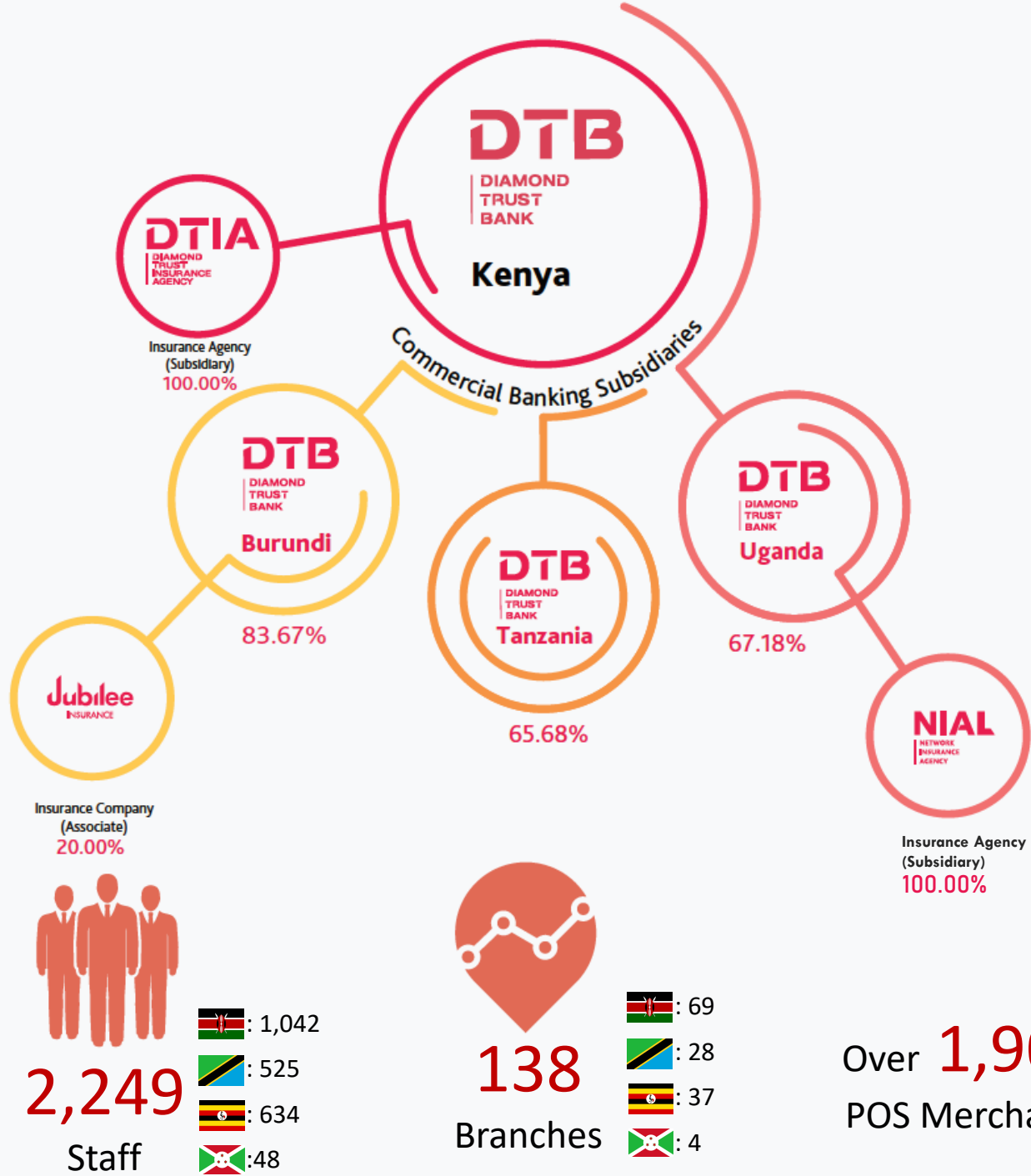


Our values make us unique and unmistakable:

- **Excellence** - This is the core of everything we do. We believe in being the best in everything we do in terms of our services, products and premises.
- **Integrity**: We steadfastly adhere to high moral principles and professional standards, knowing that our success depends on our customers' trust.
- **Customer Focus**: We fully understand the needs of our customers and we adapt our products and services to meet them. We always strive to put satisfaction of our customers first.
- **Meritocracy**: We believe in giving opportunities and advantages to our employees on the basis of their ability. We believe in rewarding achievement and in providing first-class career opportunities for all.
- **Progressiveness**: We believe in the advancement of society through the adoption of enlightened working practices, innovative new products and processes.

DTB GROUP STRUCTURE & FOOTPRINT

as at September 2020



638,182
Customers

	: 250,942
	: 220,672
	: 163,776
	: 2,792



156
ATMs

	: 67
	: 37
	: 52



2,249
Staff

	: 1,042
	: 525
	: 634
	: 48



138
Branches

	: 69
	: 28
	: 37
	: 4

Over **1,900**
POS Merchants

	: 1,347
	: 142
	: 458

DTB | DIAMOND TRUST BANK

**KShs
50 Mn**

**KShs
50 Mn**

DTB Initiatives

DTB's COVID-19 RESPONSE

OUR CUSTOMERS



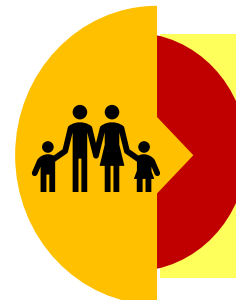
- Repayment holidays granted to 481 borrowers with facilities valued at KShs 65 billion (40% of loan book).
- Offered financial literacy training to nearly 200 SMEs.
- Offered waivers on transfers from Bank account to mobile money wallets. (Amounting to approximately KShs 80 million up to September 2020)

- Segregation of teams into different workspaces
- Investment of KShs 23 million on staff protective equipment such as facemasks, hand sanitizers, thermometer and PPEs at workplaces
- COVID-19 awareness and de-stigmatisation talks to all staff across the Bank
- Partnered with healthcare providers to offer free COVID-19 testing of staff
- Offered counseling services and psychological support to staff



OUR PEOPLE

OUR COMMUNITY



- Over 6,000 families covered across 12 counties in Kenya
- Boreholes built in Mombasa, Kisumu and Migori counties for sustainable and safe water supply
- KShs 5 million committed towards feeding front-line workers in partnership with Serena Hotels, KNH and Mbagathi Isolation Facility
- Contributed towards the set up of the Aga Khan University Hospital field hospital.

DTB's COMMUNITY INITIATIVES- COMMONWEALTH BUSINESS WOMEN NETWORK (CBWN)



The Commonwealth Business Women Network (CBWN) is an accredited organisation recognised by 54 Governments for its work on advancing UN Sustainable Development Goal number 5 and women's economic empowerment. Their mission is to strengthen and build women-owned businesses and advance women through talent, training and trade.

CBWN approached DTB to support their first online exhibition taking place between 23 to 28 November 2020. This exhibition attracted **over 1,000 women and youth entrepreneurs** from **across the 47 counties in Kenya** to exhibit their products and services at no cost. This is a virtual trade show where exhibitors from all industries meet up to exchange information, introduce new products, services & trends, interact online with buyers, generate revenue and increase their brand/products awareness. DTB, as a signatory to the UN Women Empowerment Principles (WEPS) and being an organisation that promotes women economic empowerment and gender equality, supported this initiative in terms of sponsorship and gave the keynote address at the launch.

The poster is set against a background of a Christmas tree and wrapped gifts. At the top left is the Commonwealth Business Women Network (CBWN) logo, a circular emblem with a woman's silhouette and the text 'COMMONWEALTH BUSINESSWOMEN'. At the top right is the DTB Diamond Trust Bank logo. Below these is the title 'Christmas Online Exhibition' in a purple script font. Underneath is 'An initiative of CBWN Kenya' in a black sans-serif font. A central section shows the dates '23 to 28' separated by vertical lines, with 'November 2020' below them. A purple box contains the registration information: 'Register as an EXHIBITOR on https://exhibition.cbwnkenya.org Cost: FREE'. At the bottom, contact details are listed: 'Contacts: info@cbwnkenya.org www.cbwnkenya.org'. The footer states 'Organised by Biashara Africa'.

DTB | DIAMOND TRUST BANK

COMMONWEALTH BUSINESSWOMEN

Christmas Online Exhibition

An initiative of
CBWN Kenya

23 to 28

November 2020

Register as an **EXHIBITOR** on
<https://exhibition.cbwnkenya.org>
Cost: FREE

Contacts: info@cbwnkenya.org
www.cbwnkenya.org

Organised by Biashara Africa

DTB's COMMUNITY INITIATIVES- #AchieveMoreGirl

5 GENDER
EQUALITY



6 CLEAN WATER
AND SANITATION



On International Women's Day 2020, DTB launched the #AchieveMoreGirl initiative to support vulnerable girls access quality menstrual health products. The initiative was informed by the prevalent menstrual hygiene management challenge that persists across Kenya for low-income women and girls.

DTB announced a commitment to spend **KShs 50 Million** over the next five years on an initiative to support over 30,000 school girls access quality menstrual health products.

#AchieveMoreGirl is in line with DTB's commitment as a signatory of the Women's Empowerment Principles (WEPs); a set of Principles offering guidance to business on how to promote gender equality and women's empowerment in the workplace, marketplace and community.

It is also underpinned by the bank's compliance to the United Nations Sustainable Development Goal number 6 which aims to achieve access to adequate and equitable sanitation, paying special attention to the needs of women and girls in vulnerable situations.



DTB's COMMUNITY INITIATIVES- WASTE PAPER RECYCLING

In October 2019, as part of a #CSWeek2019 initiative, the Bank launched a paper recycling initiative targeting the used paper that it generates from its operations in Kenya in a bid to be more sustainable.

Since October 2019, **the Bank has generated over 3.2 tonnes of waste paper for recycling.**



**RECYCLE PAPER,
PLASTIC, GLASS
AND ALUMINIUM.**

By 2050, the equivalent
of almost three planets
could be required to
sustain current lifestyles.

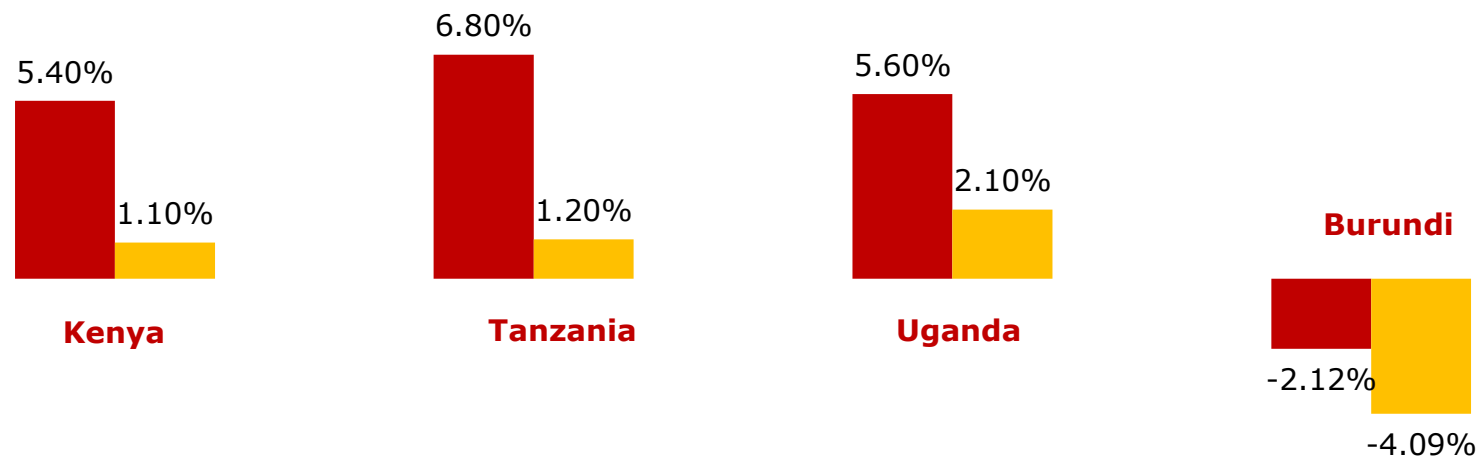


MACRO- ECONOMIC HIGHLIGHTS



MACRO-
ECONOMIC
HIGHLIGHTS-
EAST AFRICA

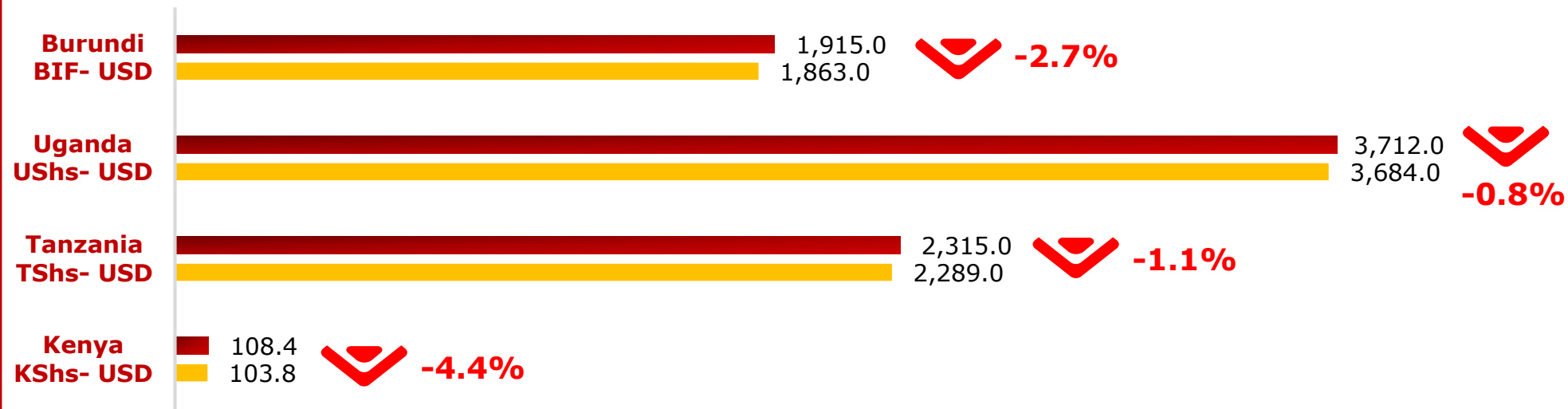
GDP Growth



■ 2019 ■ Expected 2020

Source: Fitch Solutions
(November 2020)

Exchange Rate to USD

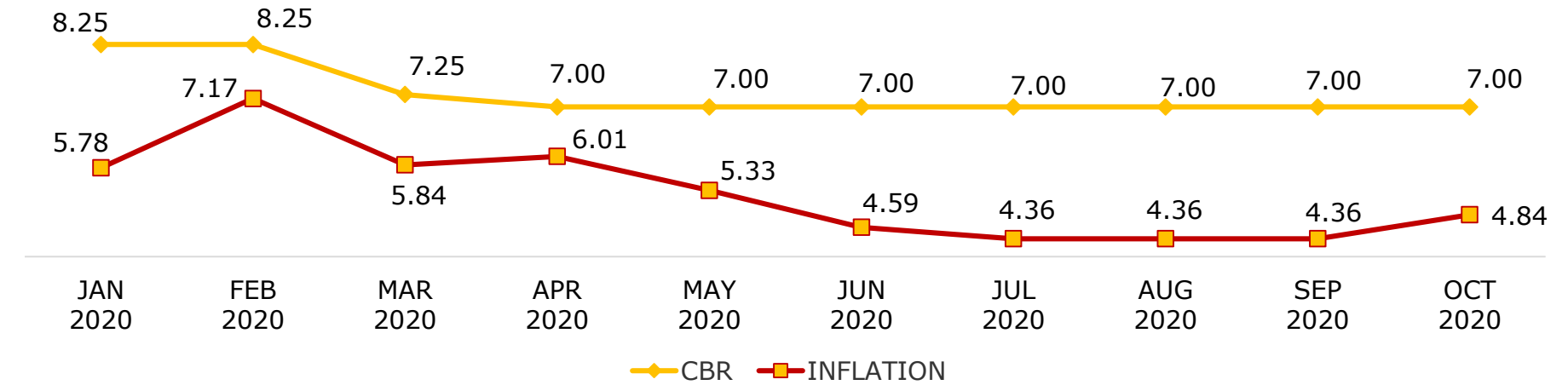


■ 2020 ■ 2019

Source: Respective Central
Banks as at November 2020

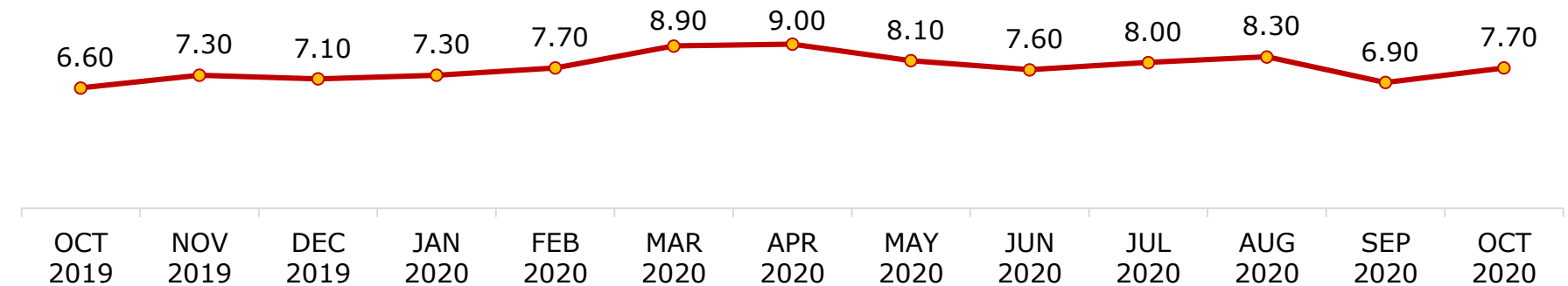
MACRO-ECONOMIC HIGHLIGHTS-KENYA

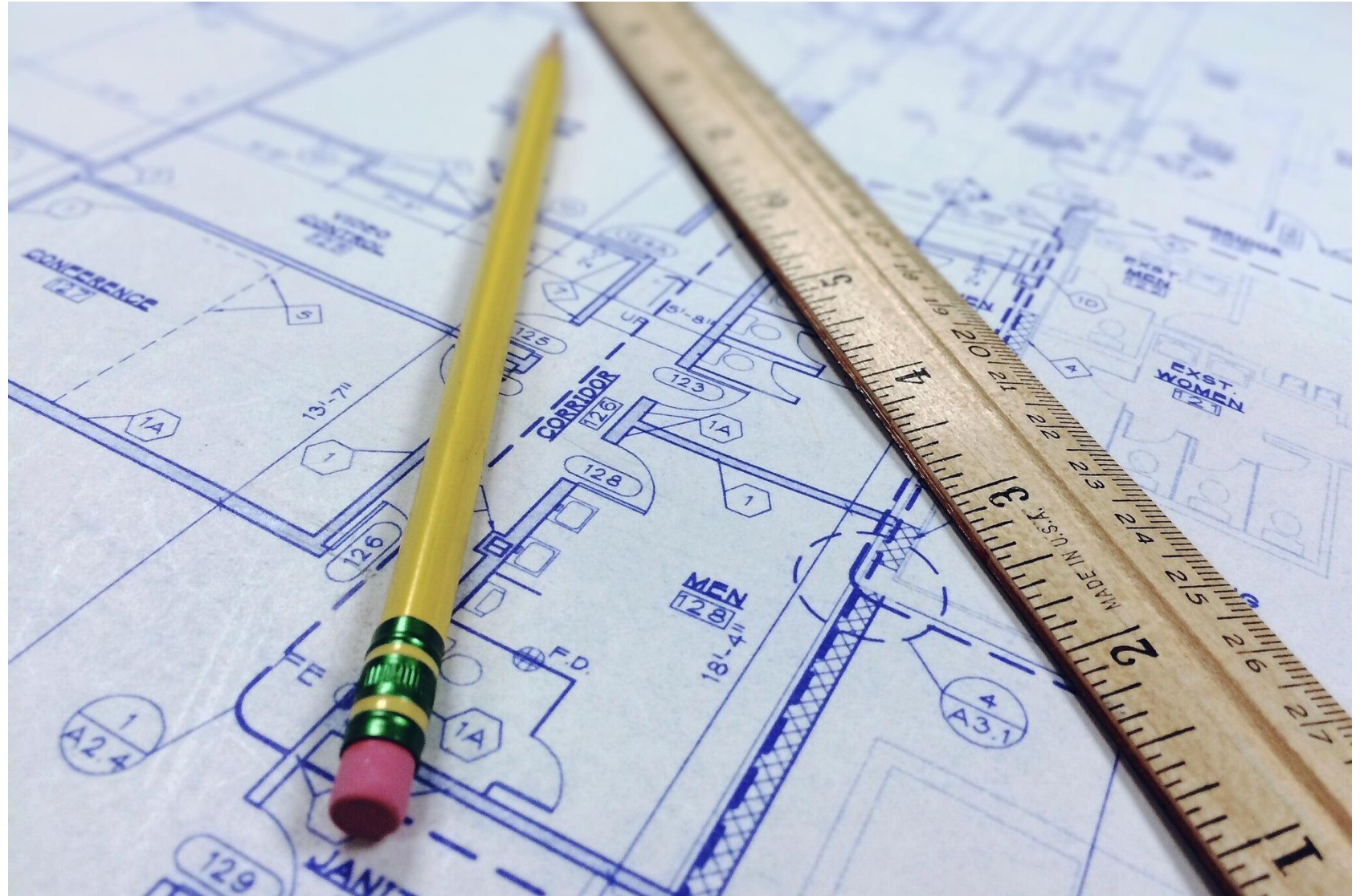
Trend in Inflation and Central Bank Rate (%)



Source: CBK November 2020

12 Month Private Sector Credit Growth (%)





A **leading commercial bank** and a **significant participant** in the economies where it operates:

- Rank among the top tier banks by liabilities
- Be a sustainable deposit led bank (CASA)
- Play a leading role in transitioning economies to support economic development



Achieve the vision while maintaining **a conservative risk profile**

The above milestone has been achieved and, to build on this positioning and acquire a significant customer base, DTB's strategic focus in 2020 is geared towards developing a new strategic blue print - '*DTB Strategy 2030 and beyond*' will position DTB as a premier, digitally-driven SME Bank in East Africa. *DTB Strategy 2030* will reinforce the Bank's core values to transform the lives of communities it operates in, through innovation and financial inclusion.



DTB Vision 2020

DTB

**DIAMOND
TRUST
BANK**

CHANNEL PERFORMANCE



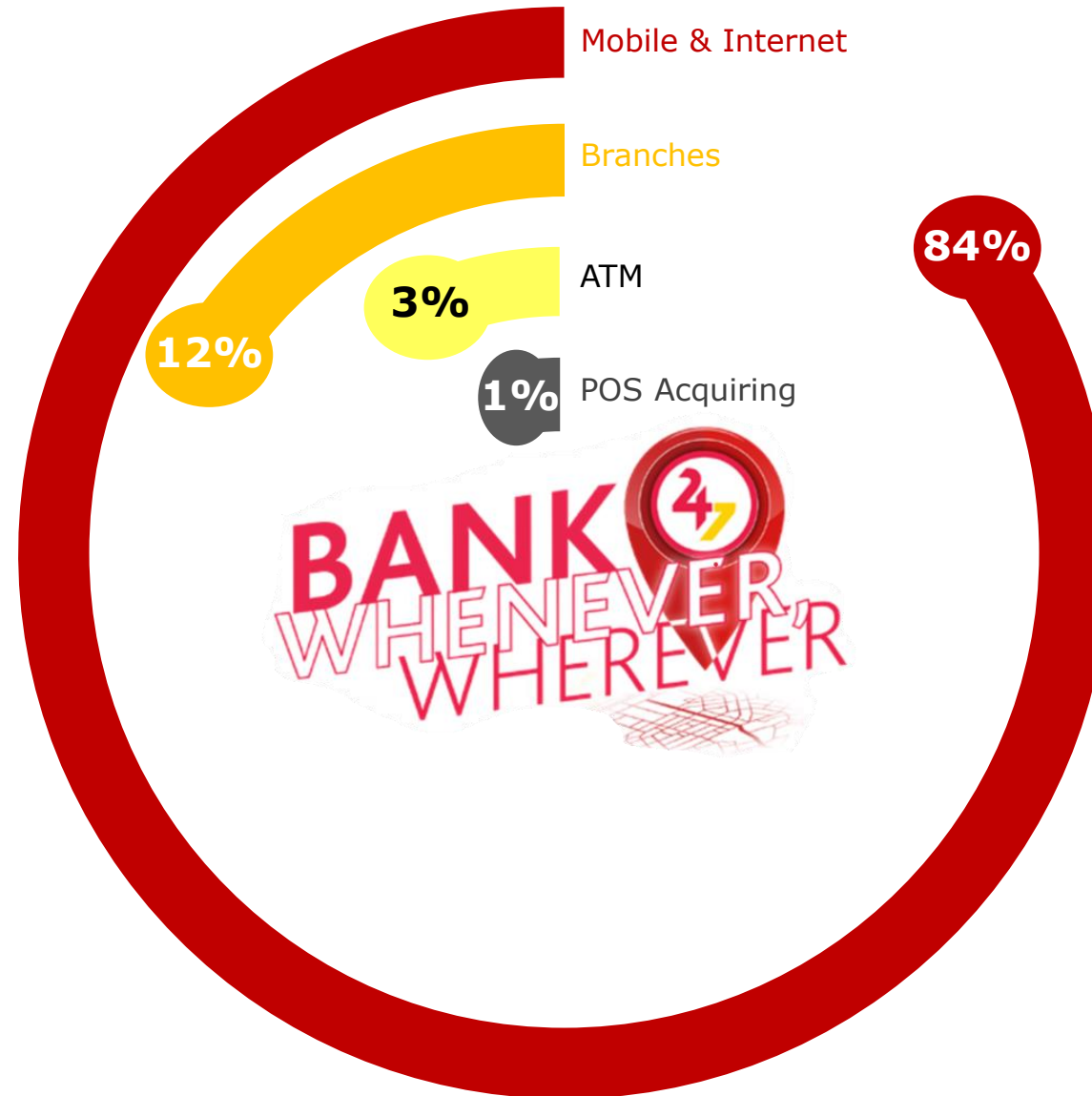
CHANNEL PERFORMANCE-KENYA

Q3 2020

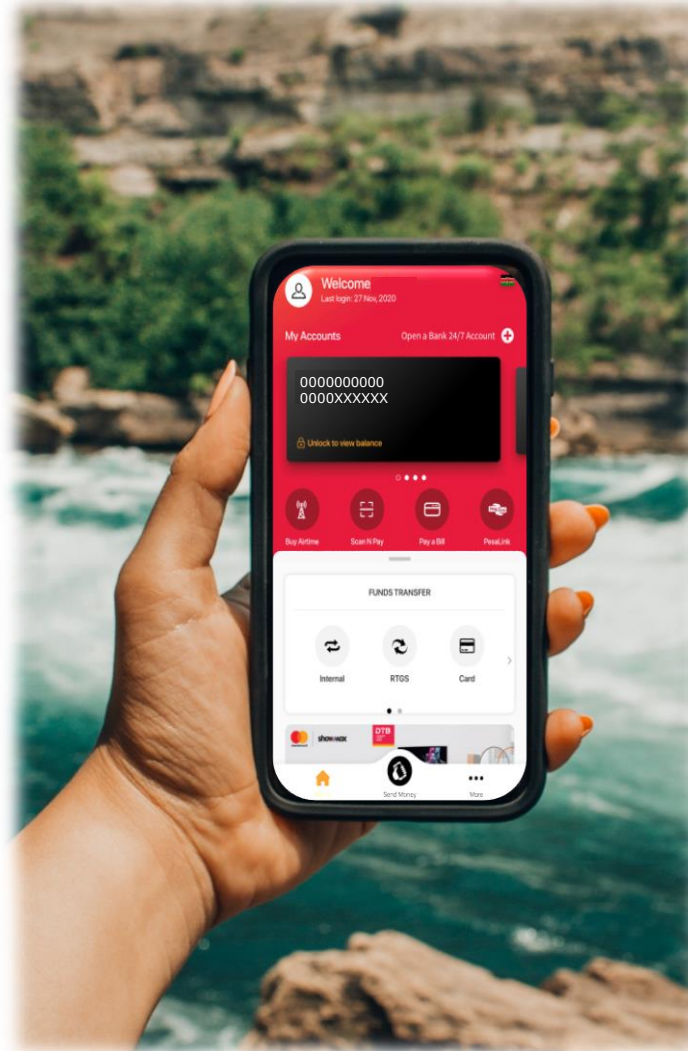
88% of transactions done outside DTB branches, up from 82% in Sep 2019.

69% of DTB customers subscribe to mobile banking, up from 68% in Sep 2019.

85% of mobile banking subscribers use the channel regularly, up from 70% in Sep 2019



DTB MOBILE BANKING- *m24/7*



Transact on-the-go from the comfort of your location day and night with *m24/7*.

What you can do on *m24/7* :

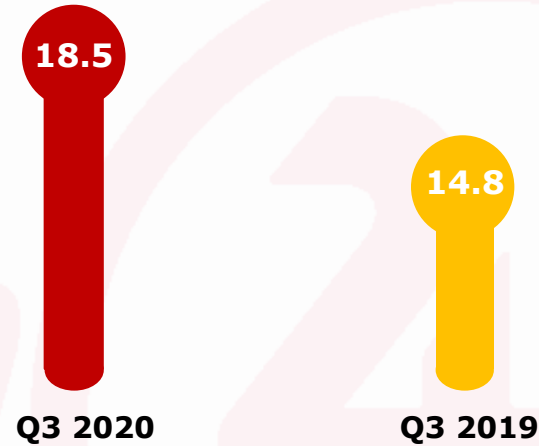
- Opening of digital accounts
- Pay your credit card bills
- Send and receive funds via Western Union
- Pay bills and top up airtime
- Transfer funds to DTB accounts, via PesaLink or RTGS
- Transfer funds from your account to mobile money
- View daily forex rates
- Viewing of Fixed Deposits
- Request for a chequebook, view cheque status or stop a cheque
- View all branch and ATM locations

CHANNEL PERFORMANCE- KENYA MOBILE BANKING

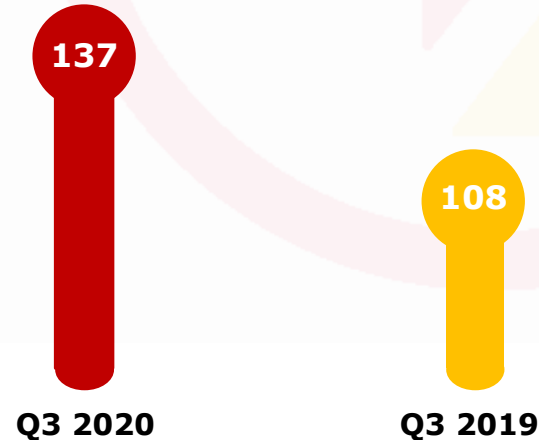
m24/7
transaction count up
by  **25%**

m24/7
transaction values up by
 **27%**

No. of Mobile Banking (*m24/7*) Transactions (Mn)



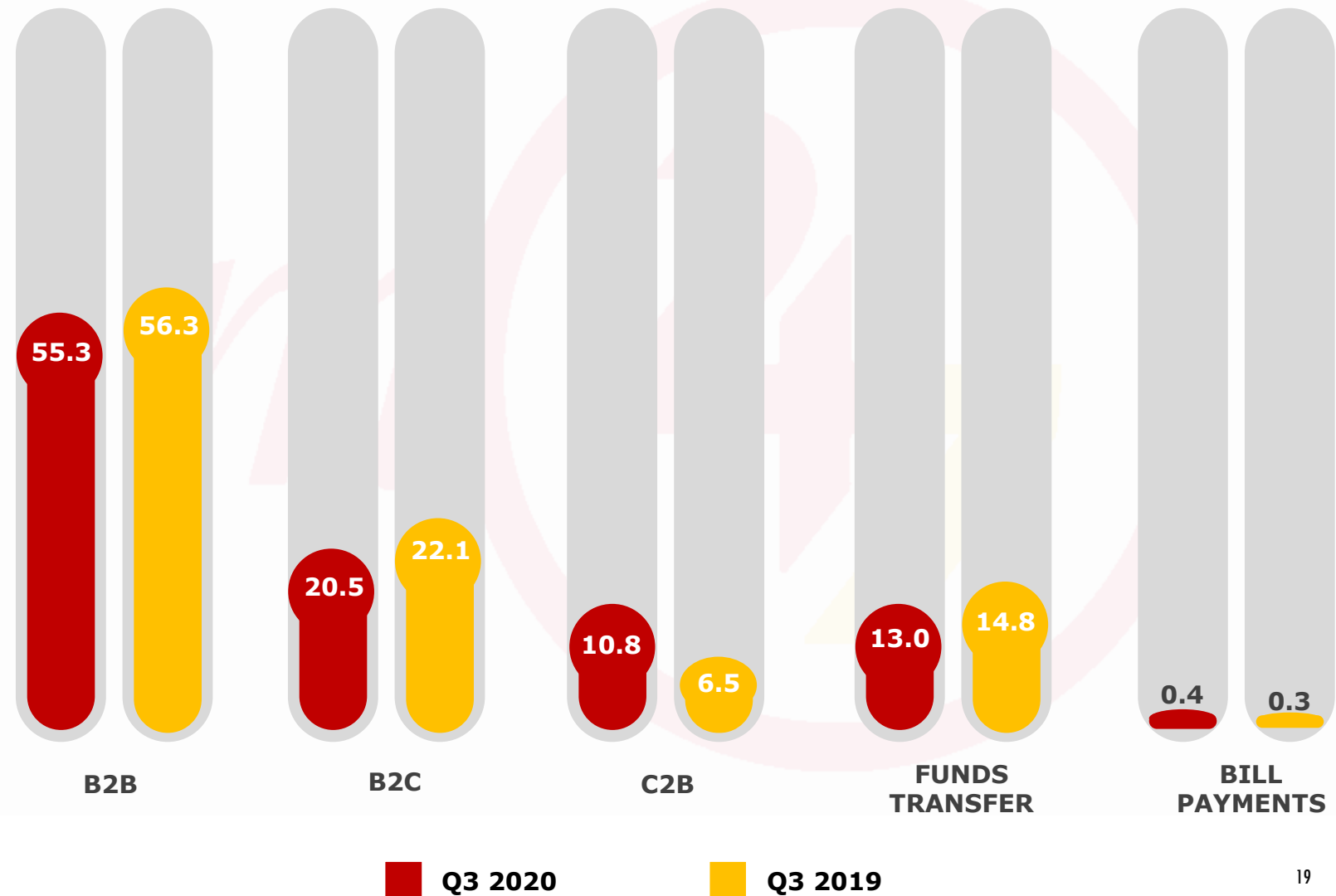
Value of *m24/7* Transactions (KShs Bn)



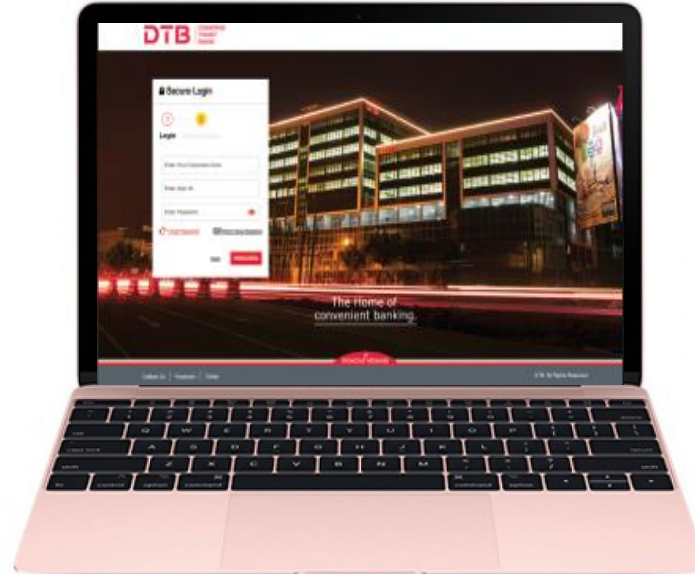
CHANNEL PERFORMANCE-KENYA

Over KShs 130 bn transferred through the *m24/7* channel from Jan 2020 to Sep 2020

Mobile Banking Transaction type (% value)



DTB INTERNET BANKING- *i24/7*



i24/7 enables businesses and individuals to transact seamlessly on internet-ready devices irrespective of their location.

Key Features:

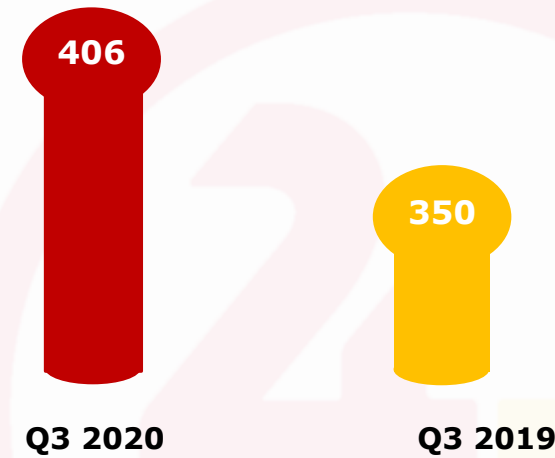
- Host-to-Host integration capability
- Bill payments
- iTax payments capability
- Improved Electronic Bulk Trade payments and Salary processing
- Real-time access to account information from any where in the globe
- Capability to initiate Single Payments and Bulk Payments at high speed of payment processing
- Post-dated payments capability
- Multi-currency and Cross Currency local and international payments via IFT/ EFT/ RTGS, PesaLink and SWIFT
- Mobile Money Bulk payment
- Cheque book request services

CHANNEL PERFORMANCE-KENYA ONLINE BANKING

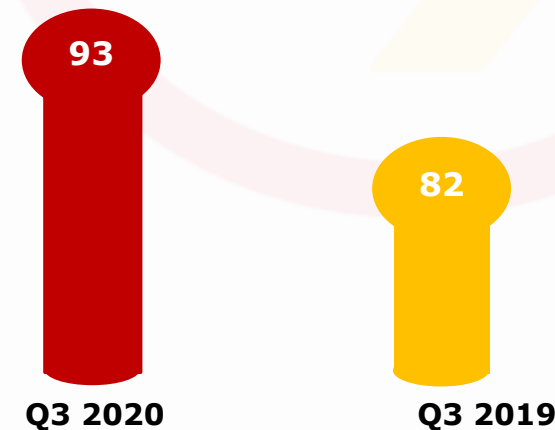
i24/7 transactions up by
 **16%**

Average of **2,100** transactions done per business day on *i24/7*

No. of Online Banking (*i24/7*) Transactions (Thousands)



Value of *i24/7* Transactions (KShs Bn)

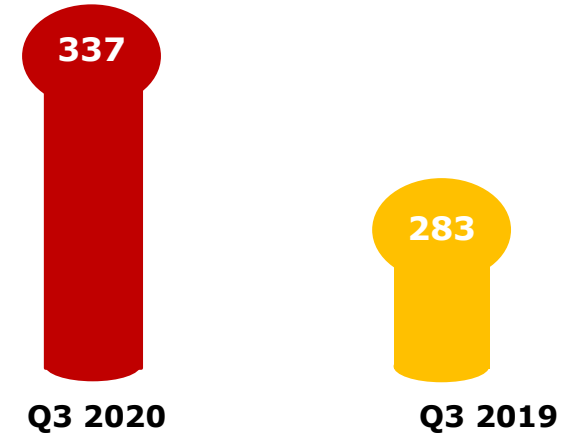


CHANNEL PERFORMANCE-KENYA

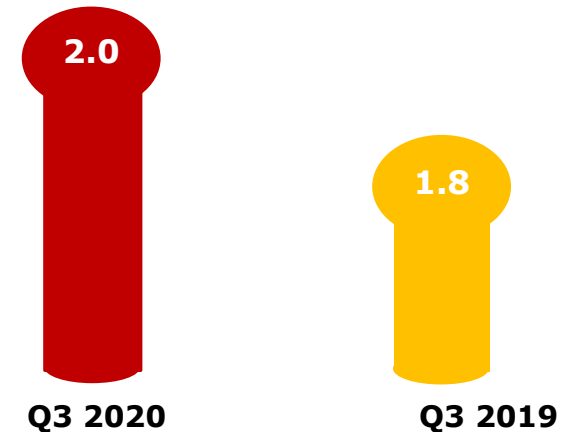
POS transaction count up by  19%

POS transaction value up by  14%

No. of POS Acquiring Transactions (Thousands)



Value of POS Acquiring Transactions (KShs Bn)



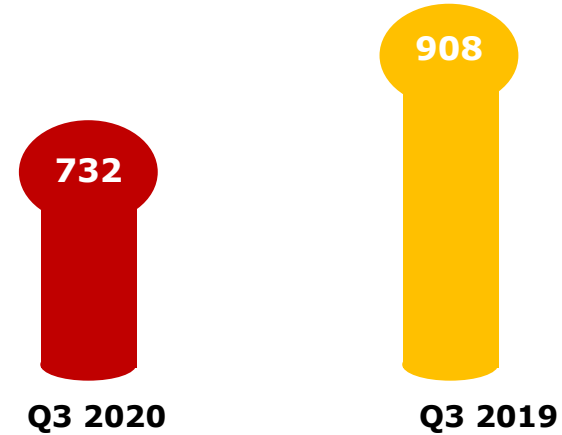
Expanding DTB's intermediary role to a wider eco system beyond just the Bank's customers

CHANNEL PERFORMANCE-KENYA

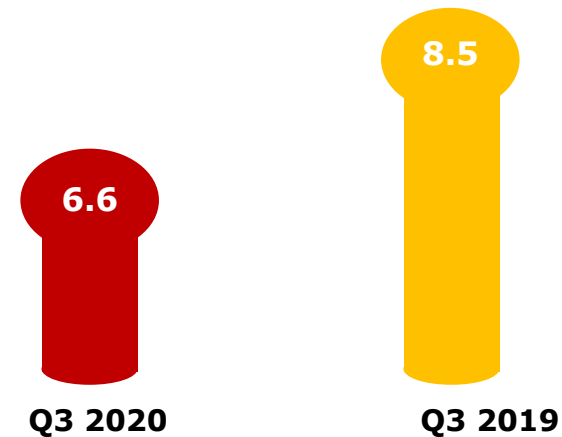
Decline in number of ATM transactions by

▼ **24%**

No. of ATM Transactions (Thousands)



Value of ATM Transactions (KShs Bn)



Shifting towards cashless transactions

FINANCIAL PERFORMANCE



BALANCE SHEET HIGHLIGHTS-GROUP

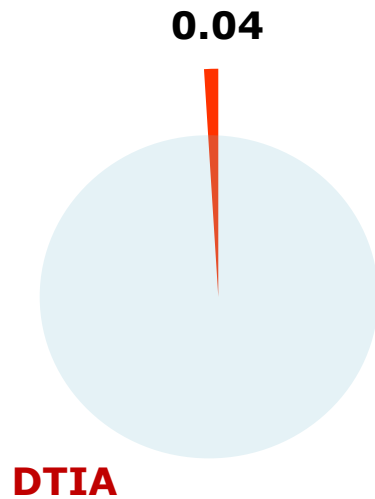
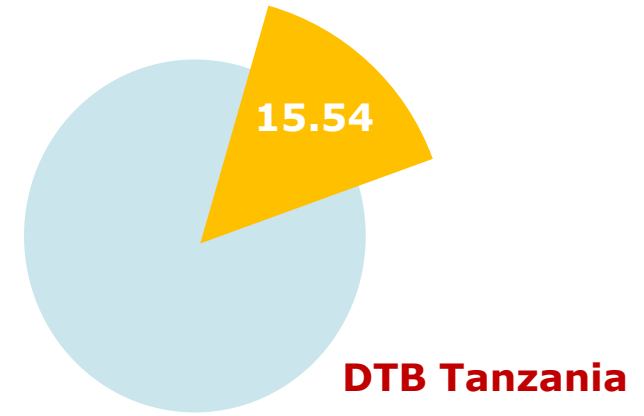
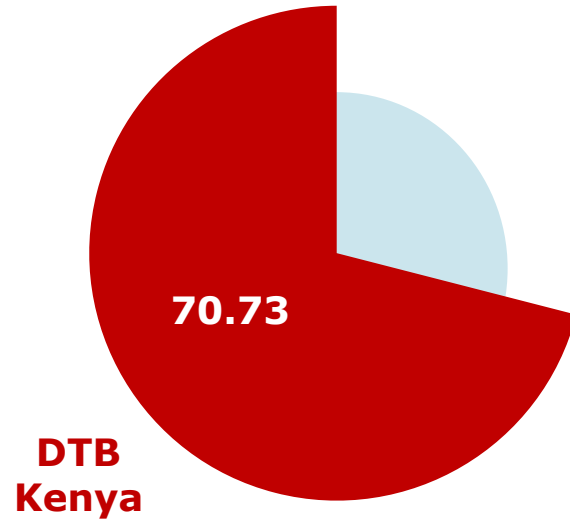
		Q3 19	Q3 20	
ASSETS	Net Loans & Advances	KShs 192.0 Bn	KShs 205.6 Bn	 7%
	Gov-Securities	KShs 125.6 Bn	KShs 132.6 Bn	 5%
	Total Assets	KShs 382.5 Bn	KShs 394.0 Bn	 3%
LIABILITIES	Customer Deposits	KShs 283.1 Bn	KShs 288.2 Bn	 2%

BALANCE SHEET HIGHLIGHTS-KENYA

		Q3 19	Q3 20	
ASSETS	Net Loans & Advances	KShs 144.8 Bn	KShs 154.7 Bn	 7%
	Gov-Securities	KShs 97.5 Bn	KShs 95.4 Bn	 -2%
	Total Assets	KShs 283.6 Bn	KShs 285.8 Bn	 1%
LIABILITIES	Customer Deposits	KShs 201.7 Bn	KShs 199.2 Bn	 -1%

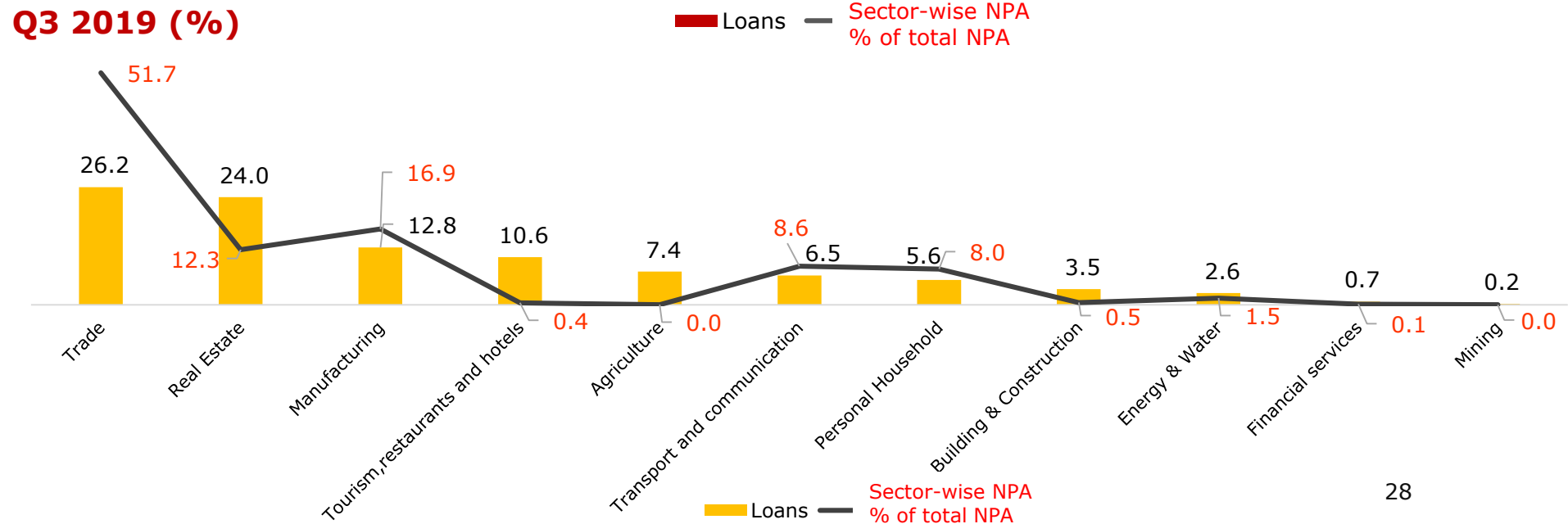
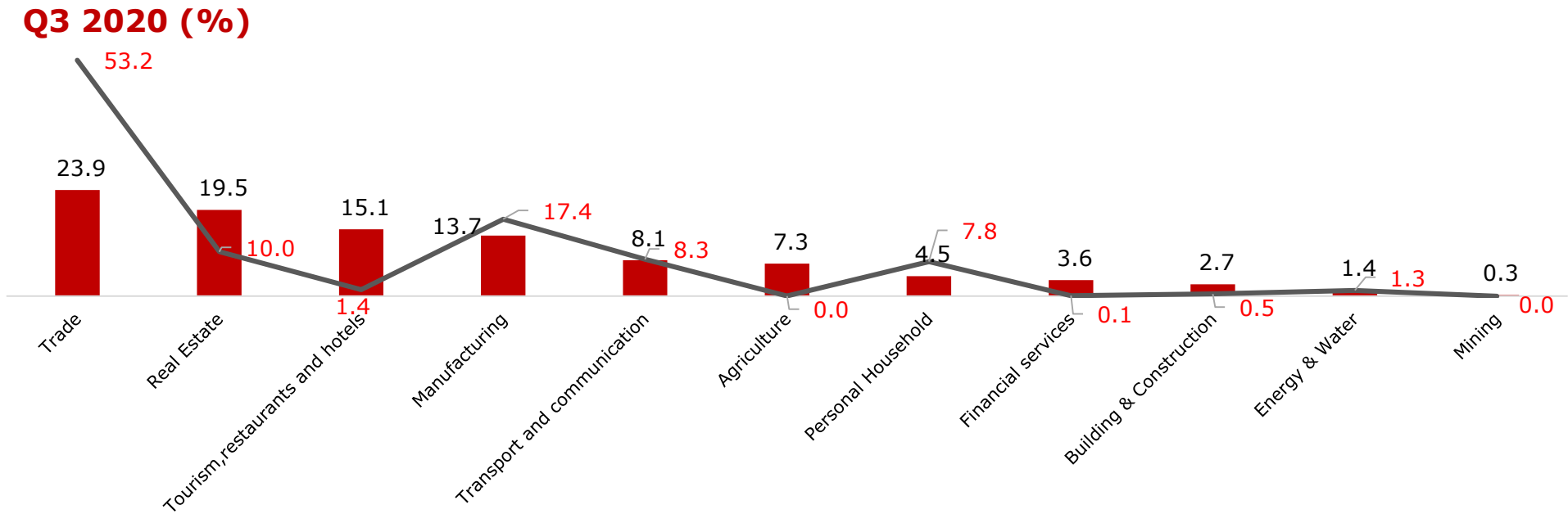
TOTAL-ASSETS SUBSIDIARIES CONTRIBUTION (%)

Q3 2020



SECTOR-WISE ANALYSIS OF LOAN BOOK AND NPLs-GROUP

Stable sector-wise exposure between Q3 2019 and Q3 2020.

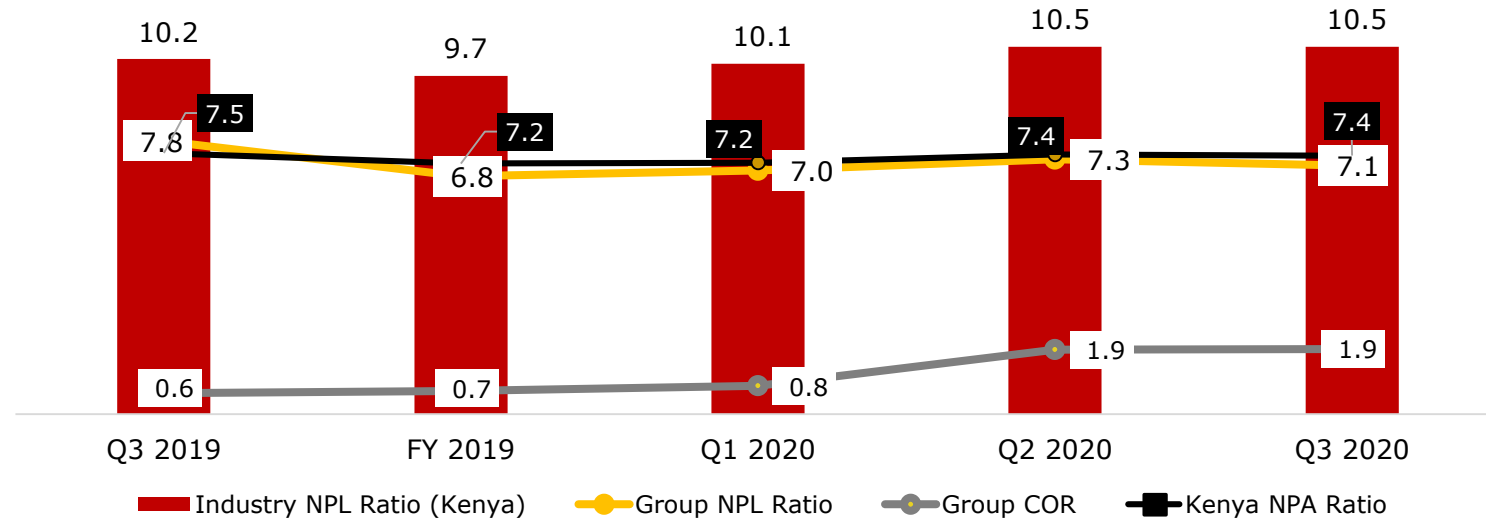


LOANBOOK PERFORMANCE- NON PERFORMING LOANS- GROUP

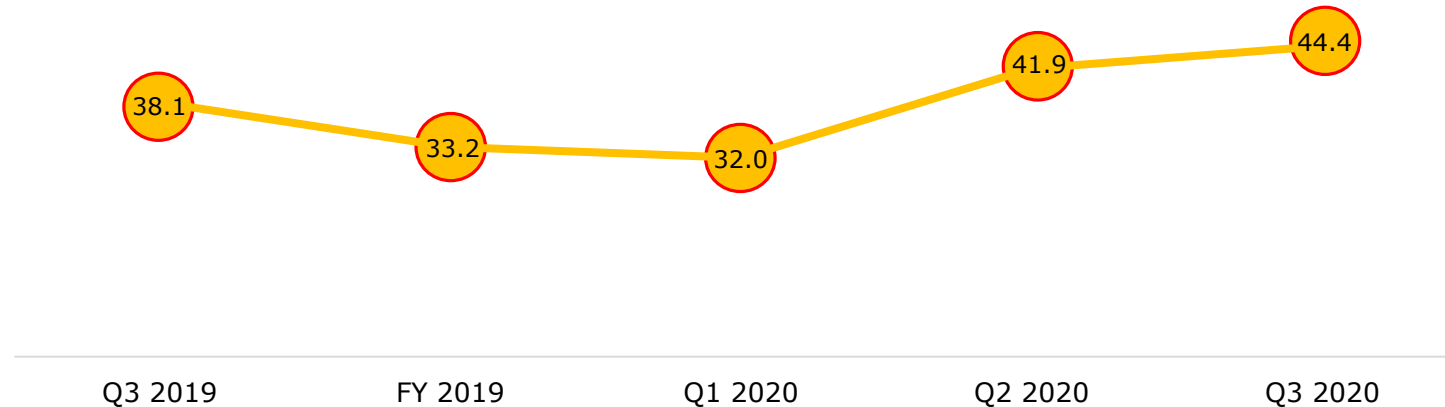
NPL ratio stable and well below industry average.

Increase in coverage anchored on prudence and conservatism.

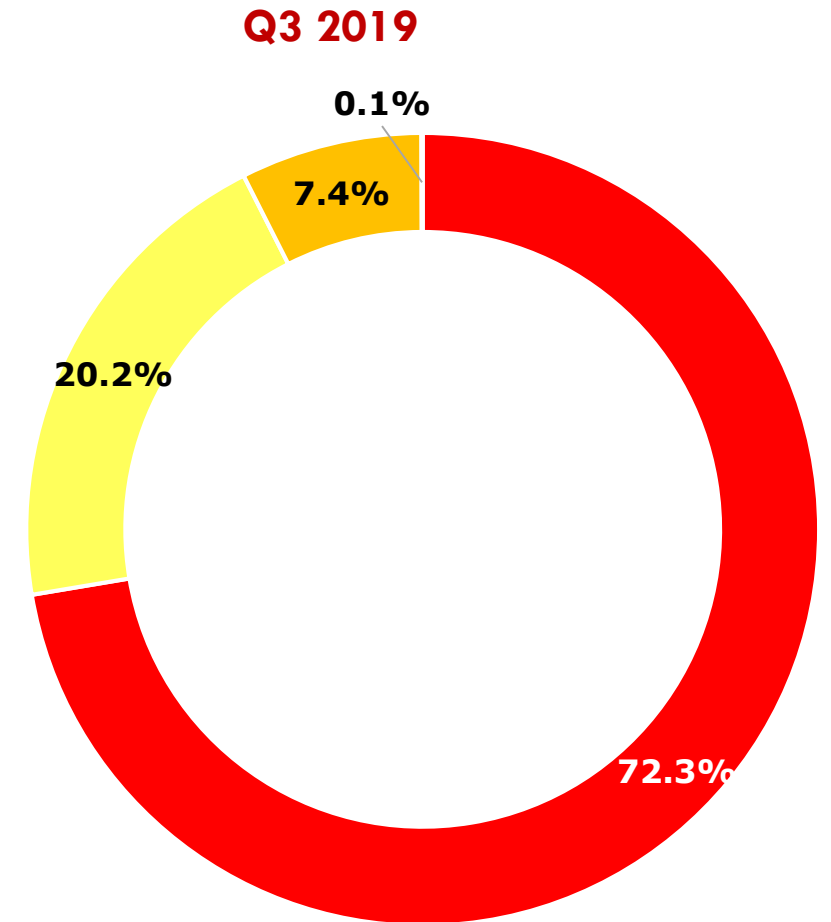
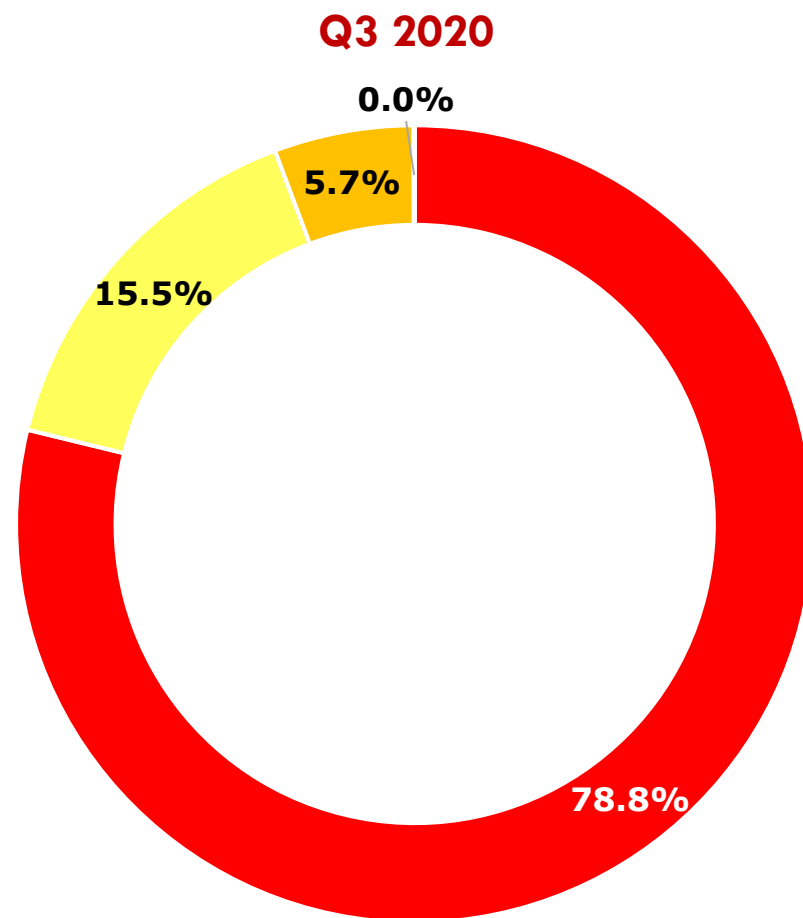
NPL Movement Analysis (%)



Coverage Ratio Analysis (%)



NET LOAN BOOK-CONTRIBUTION BY SUBSIDIARIES

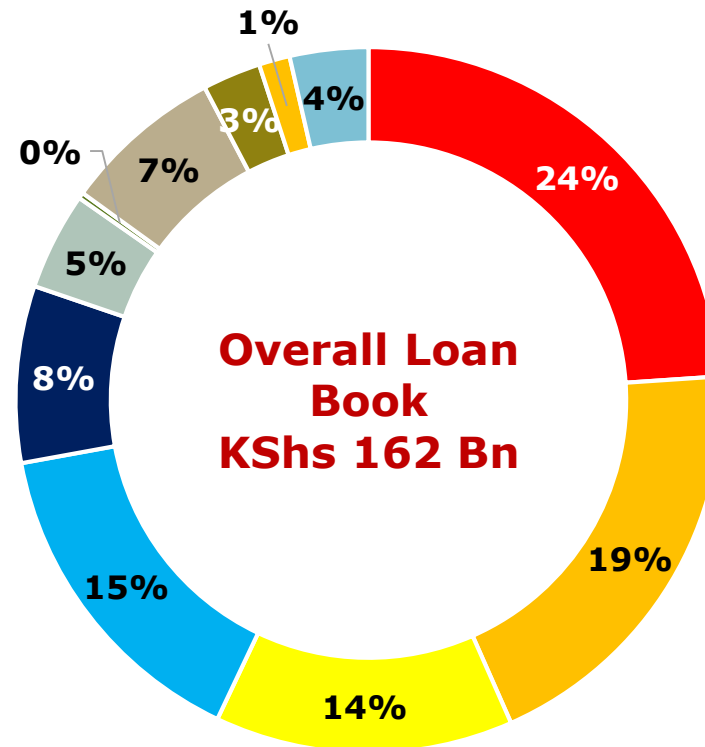


■ DTB Kenya ■ DTB Tanzania ■ DTB Uganda ■ DTB Burundi

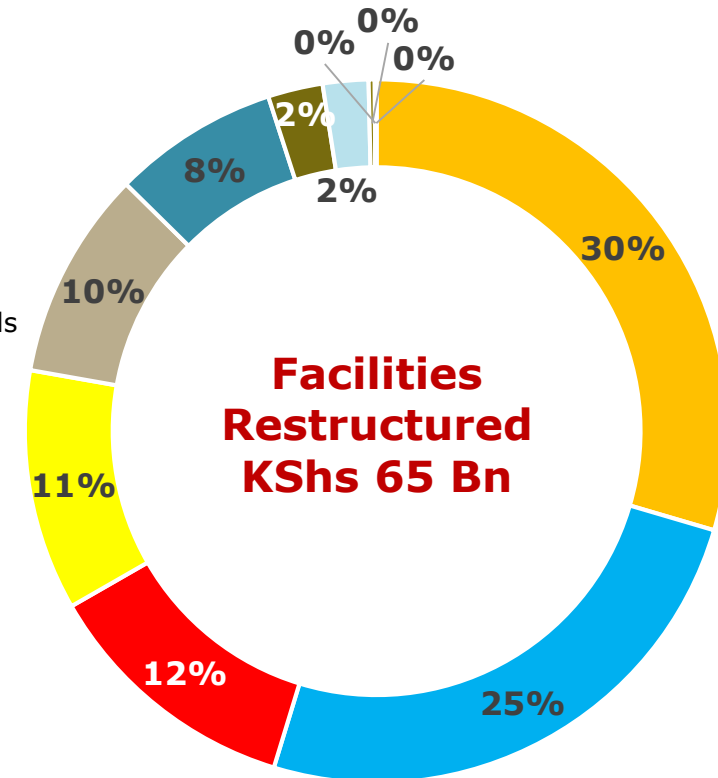
SECTOR-WISE RESTRUCTURES-KENYA

- Moratorium of up to 12 months.
- Extension of tenor.
- Cost of restructuring absorbed by the Bank.

Facilities Restructured Relating to COVID-19

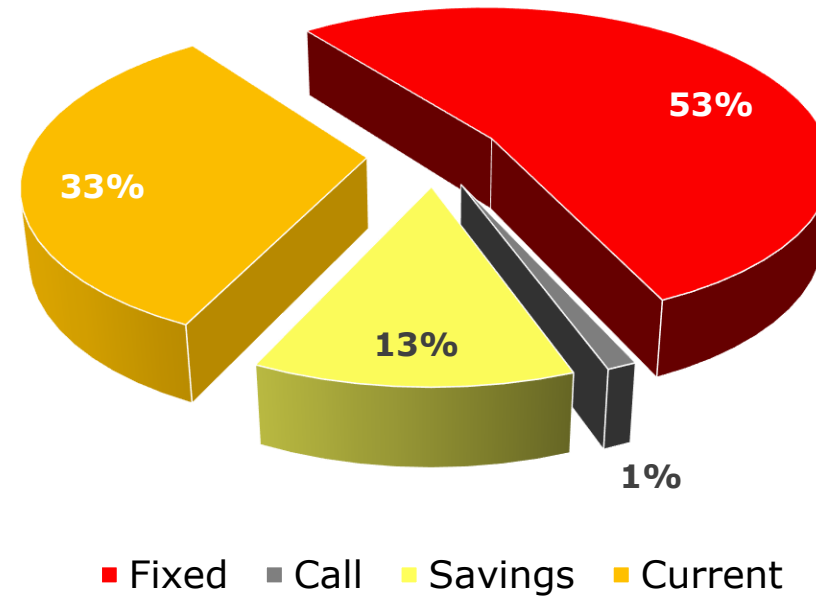


- Trade
- Real Estate
- Manufacturing
- Tourism, restaurants and hotels
- Transport and communication
- Personal Household
- Mining
- Agriculture
- Building & Construction
- Energy & Water
- Financial services

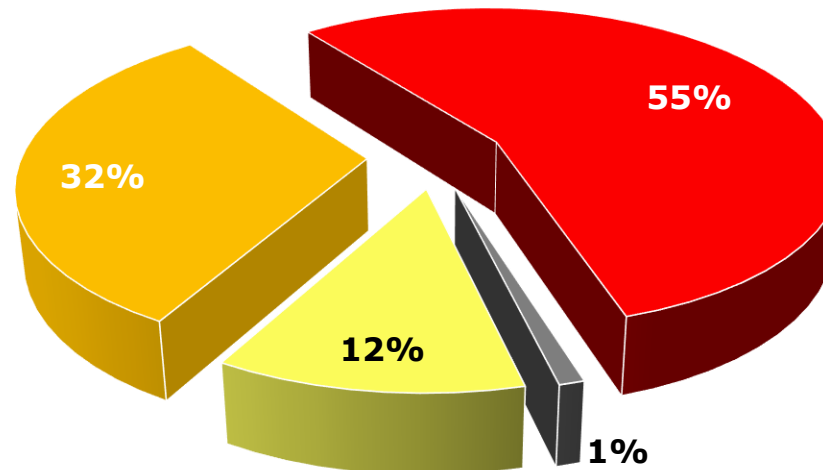


40% of the loan book restructured in Kenya as at September 2020

Deposit by Type Q3 2020

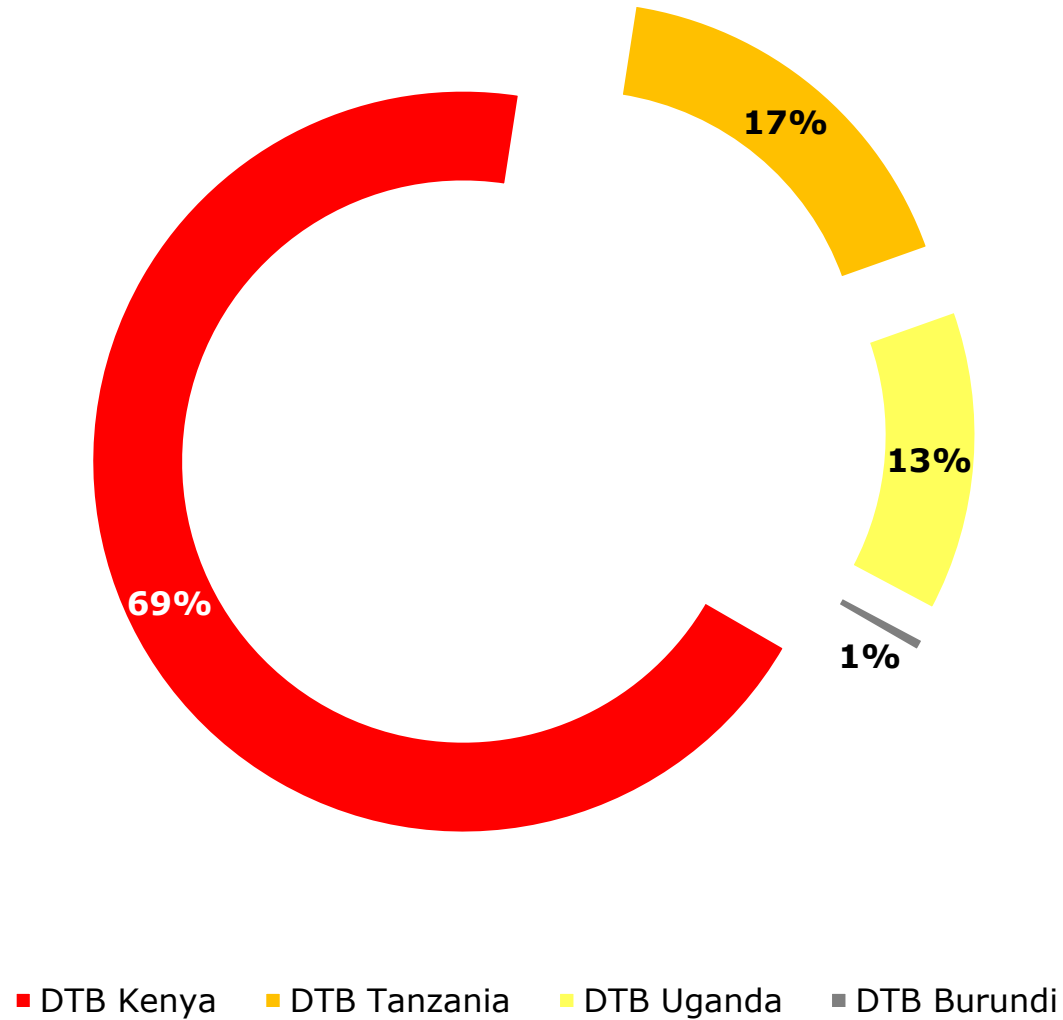


Deposits by Type Q3 2019



TOTAL DEPOSITS- CONTRIBUTION BY SUBSIDIARIES

Q3 2020

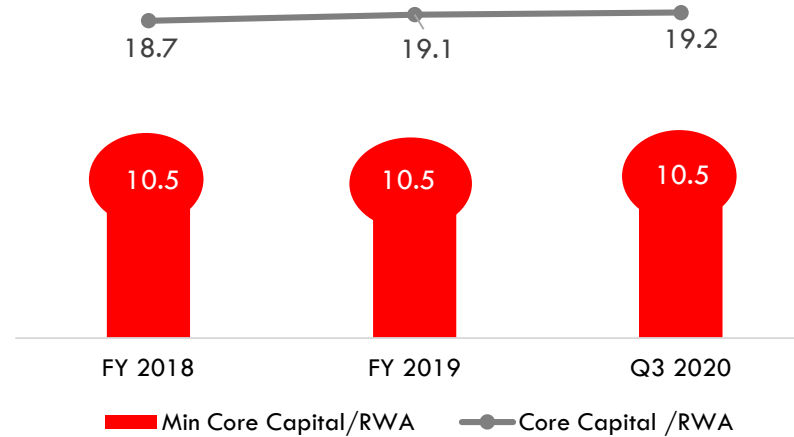


STRONG CAPITAL BUFFERS

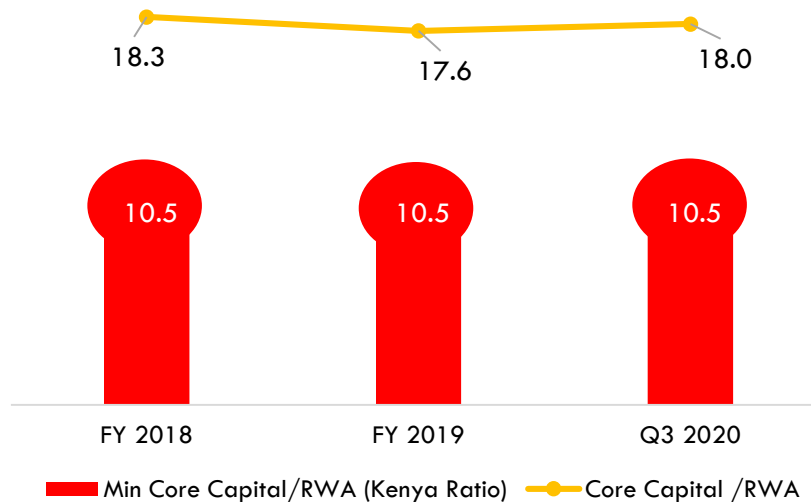
Adequate capital ratios above statutory requirement

Core Capital to RWA (%)

Kenya

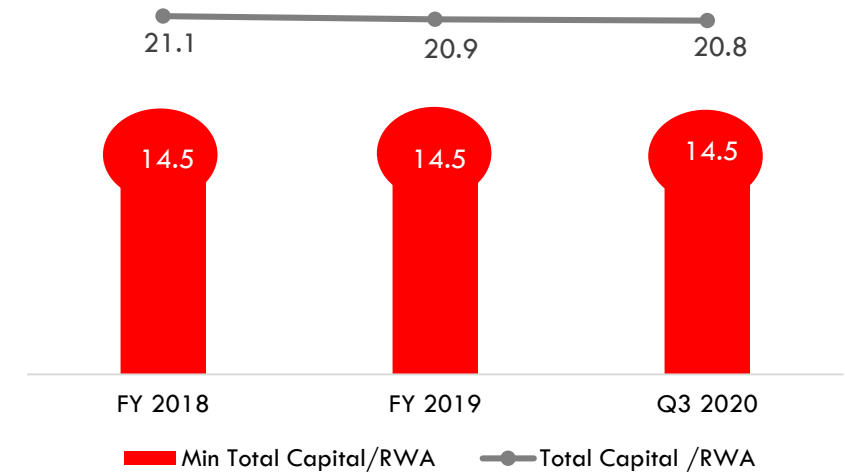


Group

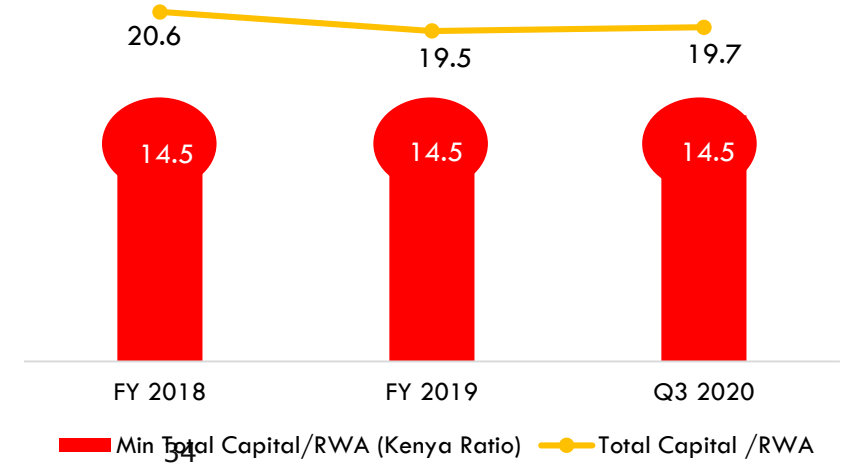


Total Capital to RWA (%)

Kenya



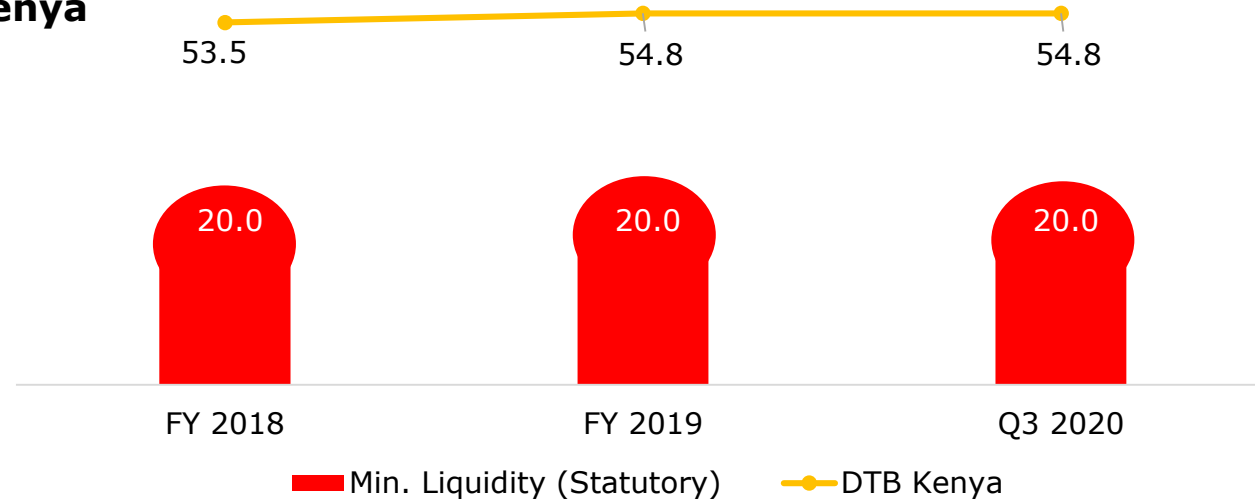
Group



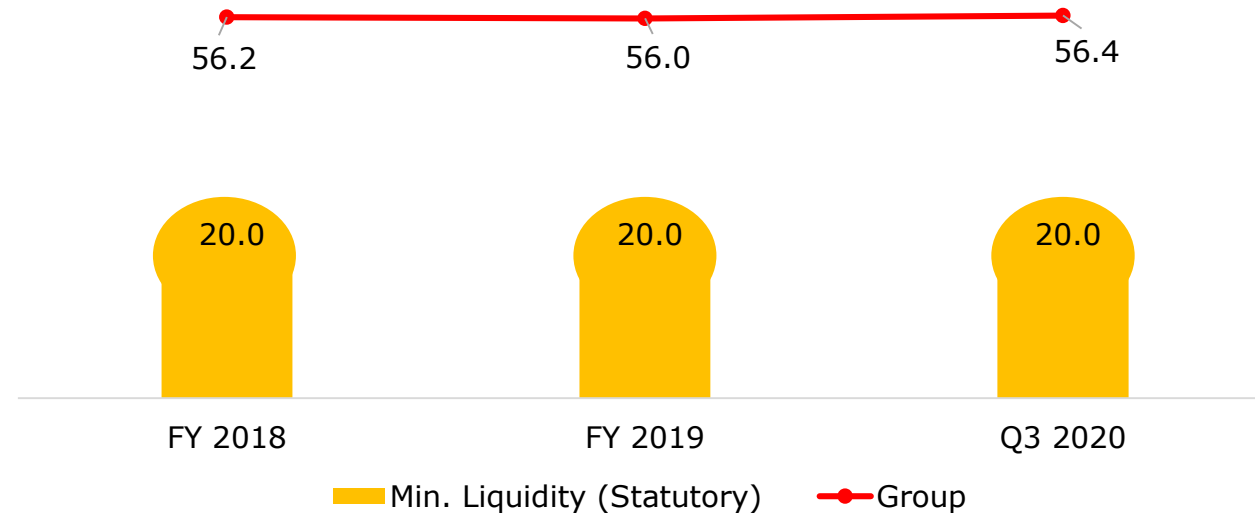
LIQUIDITY

Liquidity (%)

Kenya



Group



Stable liquidity levels across the group

P&L HIGHLIGHTS

Group PBT drop by 24%

Q3 2019

Q3 2020

Kenya

KShs
18.4 Bn

KShs
17.2 Bn



-7%

KShs
2.4 Bn

KShs
3.5 Bn



47%

KShs
20.8 Bn

KShs
20.7 Bn



-0.3%

KShs
4.7 Bn

KShs
5.3 Bn



13%

KShs
7.2 Bn

KShs
7.6 Bn



6%

KShs
0.1 Bn

KShs
1.8 Bn



2,091%

KShs
7.1 Bn

KShs
5.8 Bn



-18%

Net Interest Income

Total Non-Interest Income

Gross Operating Income

Operating Expenses

Operating Profit Before Provisions

Loan Loss provision

Profit before Tax (PBT)

Group

KShs
24.5 Bn

KShs
23.7 Bn



-3%

KShs
4.4 Bn

KShs
5.0 Bn



15%

KShs
28.9 Bn

KShs
28.7 Bn



-1%

KShs
8.6 Bn

KShs
9.5 Bn



10%

KShs
9.6 Bn

KShs
9.5 Bn



-1%

KShs
0.9 Bn

KShs
2.9 Bn



232%

KShs
8.7 Bn

KShs
6.6 Bn

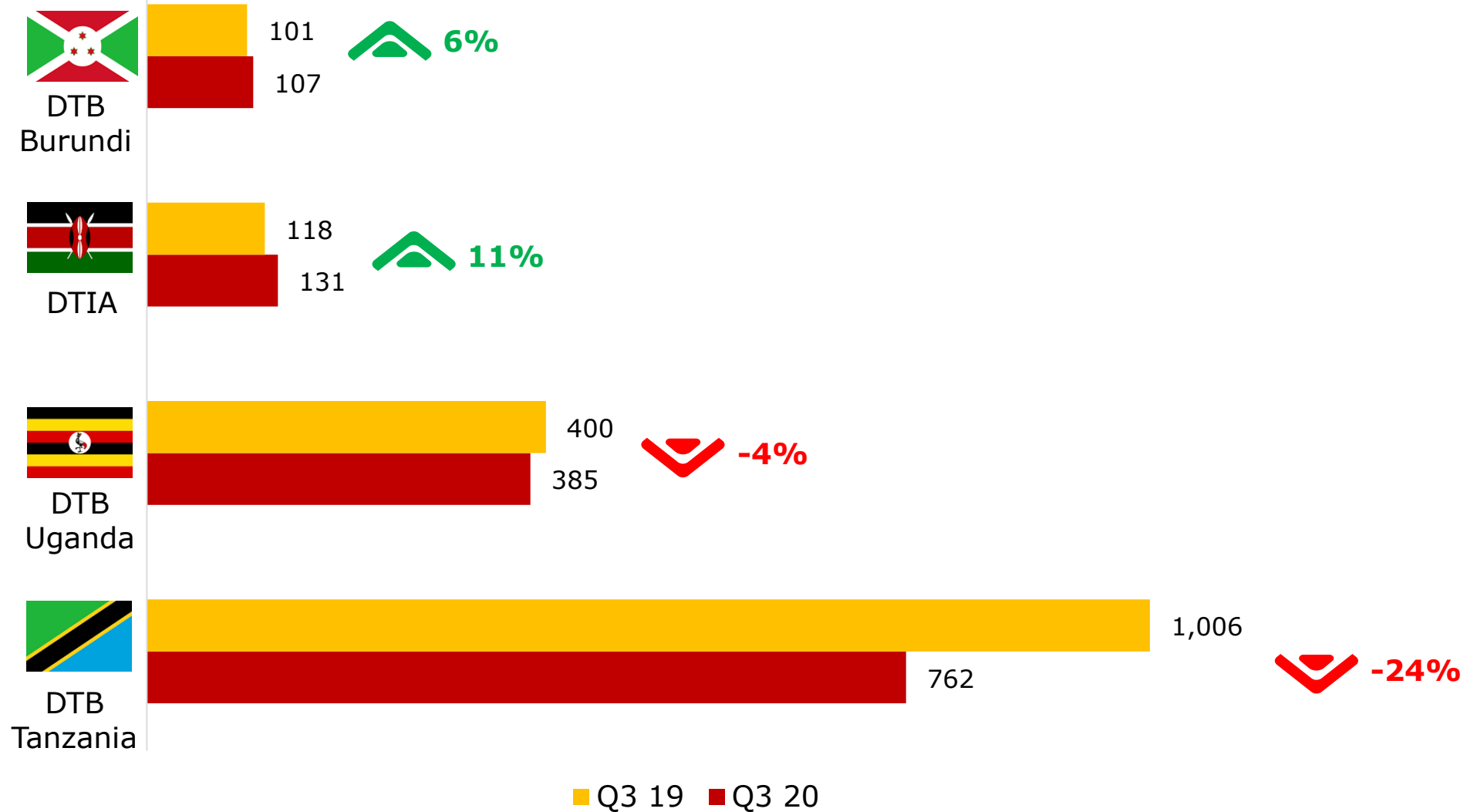


-24%

P&L HIGHLIGHTS

19% of Group PBT contributed by subsidiaries

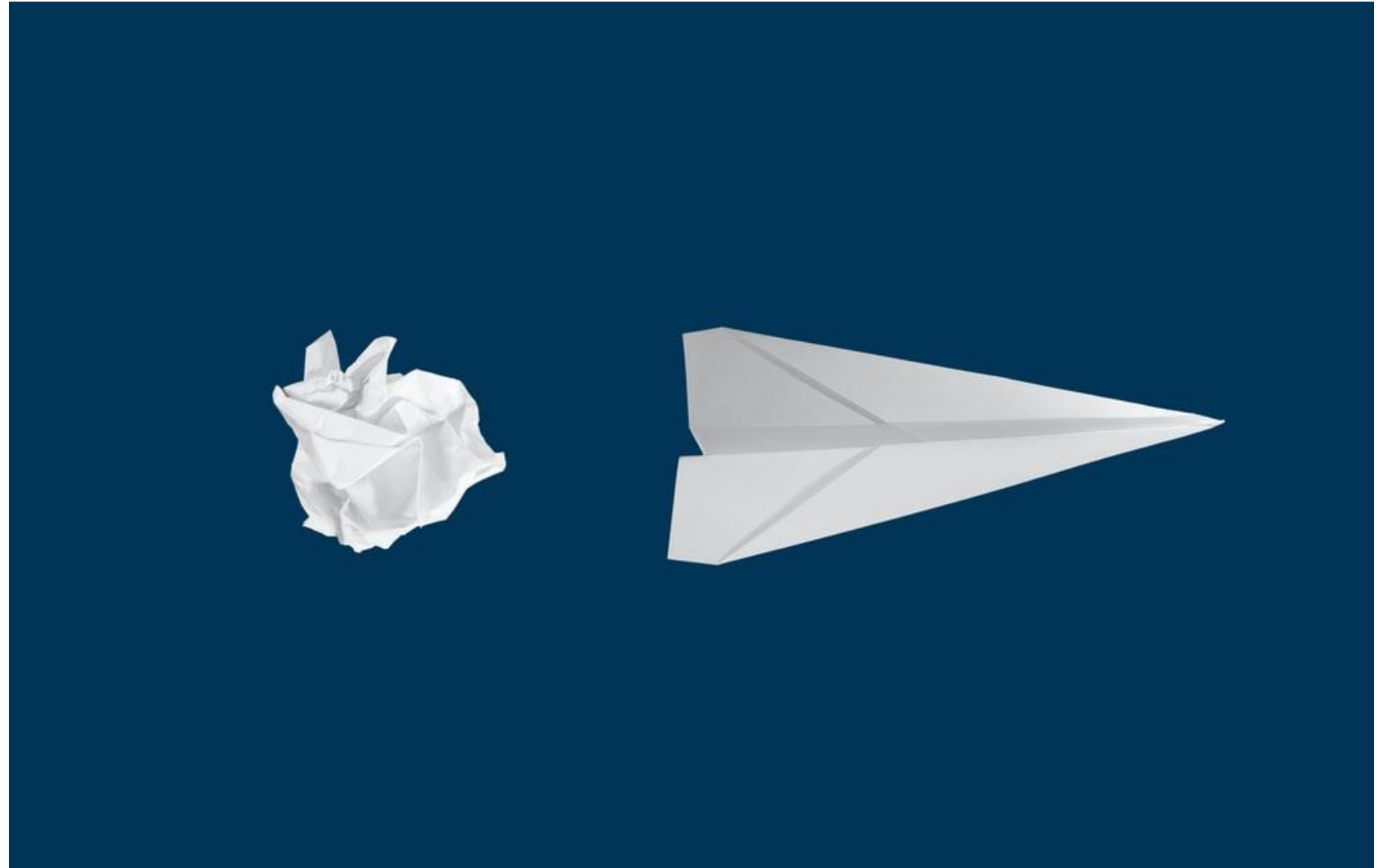
Subsidiary PBT Contribution (KShs Mn)



KEY FINANCIAL RATIOS

	Q3 19			FY 19			Q3 20					
	Kenya						Group					
Return on Equity	12.9	11.5	9.6				9.7	12.1	8.9			
Return on Asset	2.3	2.0	1.8				1.7	1.9	1.5			
NPL Ratio	7.2	6.9	7.1				7.5	6.6	6.8			
NPL Coverage	42.0	34.1	45.7				38.1	33.2	44.4			
Cost of Risk	0.1	-0.0	1.5				0.6	0.6	1.8			
Fee Income Ratio	20.2	20.1	27.5				24.1	23.5	26.6			
Cost to Income	39.5	42.0	41.5				48.5	46.5	50.6			
Loan to Deposit	75.0	77.8	81.4				70.7	73.6	74.7			

**ADAPTING TO
THE POST-
COVID-19
WORLD-
DIGITAL
ACCELERATORS**



ADAPTING TO THE POST- COVID-19 WORLD- DIGITAL ACCELERATORS

The COVID-19 pandemic has accelerated the shift towards a more digital world. Lifestyle behaviours of the online world adopted now will have lasting effects when the World economy starts to pick up again.

In a recent survey, Communication Authority of Kenya reported that **40%** of smartphone owners shopped online in Kenya, which has surged considerably especially due to the pandemic.

Riding atop the crest of the digital wave, DTB partnered with *Jumia* as the official “Black Friday” title sponsor with the goal of actively promoting the sign up of the DTB digital account (Bank 24/7) as well as DTB customer spend via card and mobile banking through sponsored discounts to DTB customers.

The advertisement is a promotional graphic for Jumia's Black Friday event, featuring DTB as the official partner. The background is black with white and red text. At the top left, it says 'JUMIA' with a star icon, followed by 'BLACK FRIDAYS' in large, bold, white letters. Below this, the dates 'NOV. 6 - 30' are displayed. To the right of the Jumia logo, the DTB logo is shown, consisting of the letters 'DTB' in a large, bold, white font, with 'DIAMOND TRUST BANK' in a smaller font below it. The main headline, 'Even crazier with DTB', is written in a large, bold, white font. At the bottom left, there are two buttons: 'GET IT ON Google Play' and 'Download on the App Store'. On the right side, there is a graphic of a stack of black cubes, some of which are decorated with white icons like a lightning bolt, a percentage sign, and a shopping bag. A red diagonal line runs across the bottom right corner of the image.

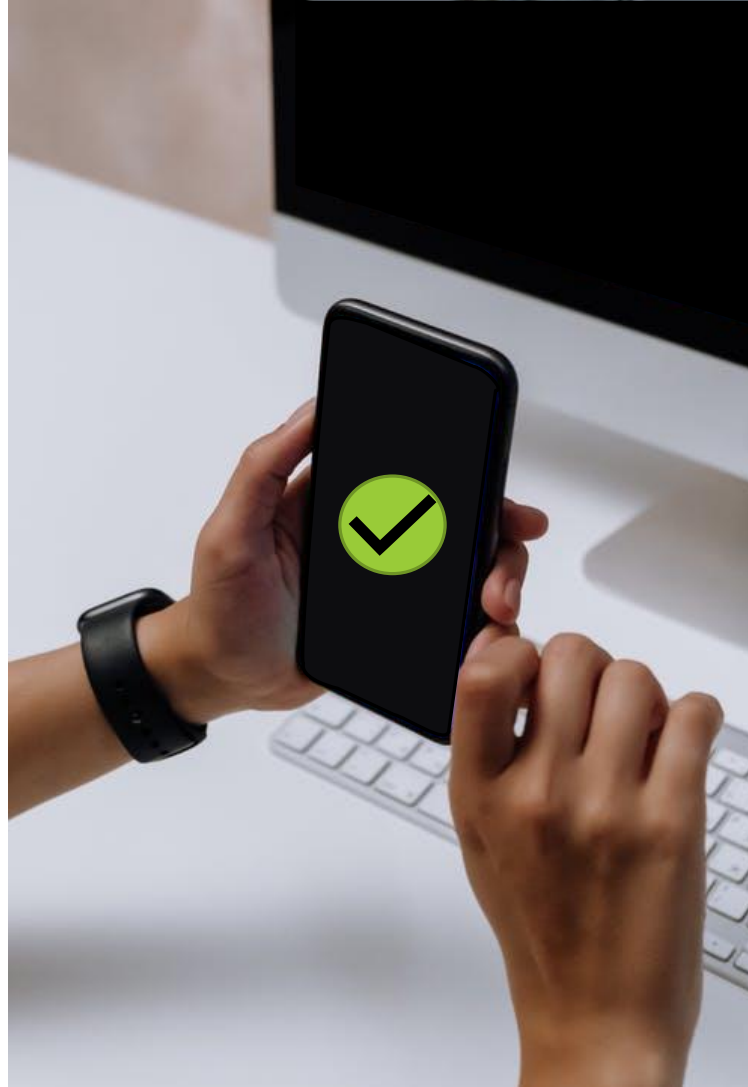
JUMIA ★
BLACK FRIDAYS
NOV. 6 - 30

DTB
DIAMOND TRUST BANK

Even crazier with DTB

GET IT ON Google Play | Download on the App Store

ADAPTING TO THE POST- COVID-19 WORLD- DIGITAL ACCELERATORS



Furthering its opportunity in the digital landscape, during the pandemic, DTB launched DTB *Inua*.

The product is aimed at enabling SMEs offer a salary advance proposition to their staff members to reduce additional financial constraints.

Key Features & Benefits:

- Digital loan with no paper work required
- Pre-approved credit limit – The limit of the loan shall be 30-50% of the net salary.
- Instant disbursement into the DTB Salary Account - No follow up required for disbursement of the loan amount.
- Deduction at source – Saves the employee from constant follow-ups from the Bank on repayment of the loan.
- Short Tenure – Maximum of 30 days



Scan the QR to view
DTB's 2019 Integrated
Report and Financial
Statements.



+254 20 284 9888 | +254 719 031 888 | +254 732 121 888
www.dtbafrica.com | contactcentre@dtbafrica.com
@DTBduo | DTB duo | @DTB_duo